

Awaareness About Neo Bank Among salaried Millenials :

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Introduction To Banking In India:

- **Early Start: Banking in India began with the Bank of Hindustan in 1770.**
- **Presidency Banks: The 1800s saw the Bank of Bengal, Bombay, and Madras.**
- **Imperial Bank: Merged in 1921, later became the State Bank of India.**
- **RBI: India's central bank started in 1935.**
- **Nationalization: Major banks nationalized in 1969 and 1980.**
- **Reforms: The 1990s brought new policies, leading to private and foreign banks.**
- **Digital Age: The 2000s introduced online and mobile banking.**



Digital Revolution in Indian Banking :

Unified Payments Interface (UPI):

UPI (2016) enables instant phone-based bank transfers and drives India’s cashless digital economy.

Mobile & Internet Banking:

24/7 mobile and online banking streamlined financial services and accelerated digital adoption, particularly among millennials.

Fintech and Neo Banks:

Fintech and neo-banks deliver fast, fully digital financial services as modern alternatives to traditional banks.

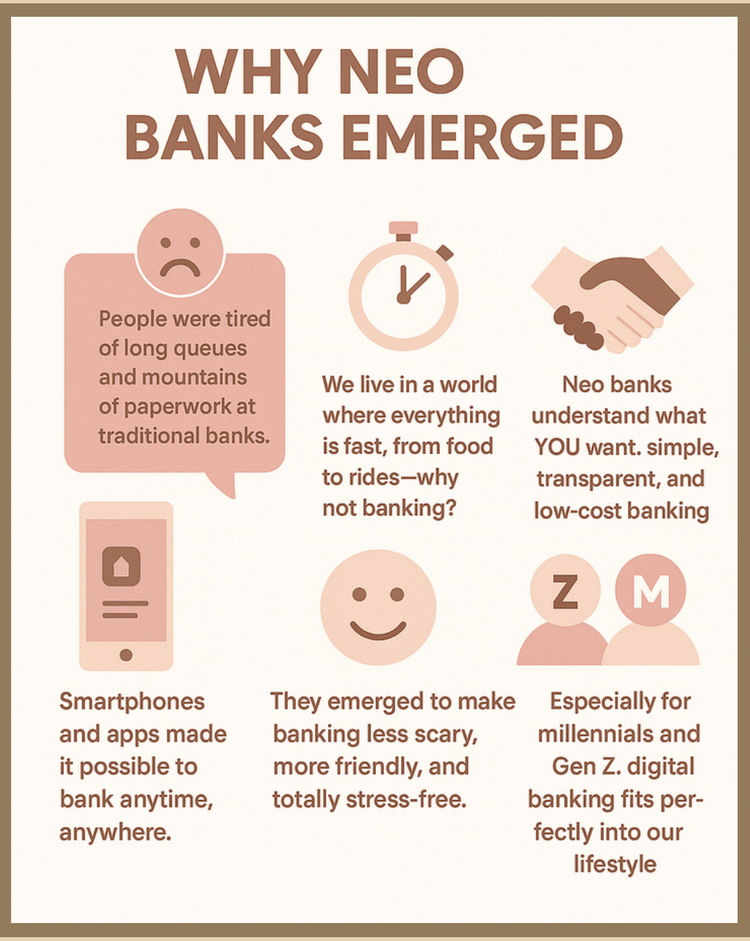
Introduction Of NeoBanks :

Neo banks are exclusively digital financial institutions offering convenient services through mobile applications. They have no physical branches, meaning all transactions and interactions occur online, providing a more streamlined and accessible banking experience.



Why Neo Banks Emerged ?

- Long Queues & Paperwork
- Faster Lifestyle
- Customer-Centric Approach



- Smartphone Banking
- Stress-Free Experience
- Fit for Millennials & Gen Z

TYPES OF NEO BANKS:

01

Digital Banking Units (DBUs):

- These are digital versions of traditional banks.
- Example: SBI YONO.
- The main bank already has a license; DBU is just their online branch.

02

Front-End Neo Banks:

- They don’t have their own banking license.
- They partner with traditional banks or NBFCs.
- They act like the front app; the traditional bank handles money at the back-end.
- Example: Jupiter (partners with Federal Bank).

03

Full-Stack Digital Banks:

- These neo banks have regulatory approval to operate like a full bank.
- They can accept deposits, give loans, and maintain their own balance sheet.
- Not fully available in India yet (due to RBI rules), but exists in other countries.

HOW NEO BANKS WORK:

1

Fully Digital Banking:
Operate without physical branches — everything is done through mobile apps.

2

Quick Digital Onboarding:
Easy account opening and instant customer support through the app.

3

Partner With Traditional Banks:
They rely on licensed banks to hold customer funds and provide regulated services.

4

Data-Driven Services:
Use customer data to personalize features like payments, transfers, and budgeting.

SERVICES OFFERED BY NEO-BANK

Account Management

Budgeting Tools

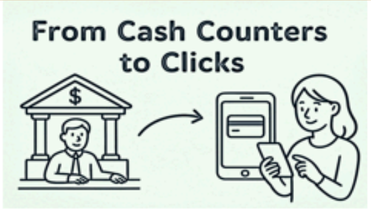
Security Features

Lending Services

Investment Options

Difference Between Traditional Banks And Neo Banks :

FEATURE	TRADITIONAL BANKS	NEO BANKS
Access	Branch -based	App-based
Operations	Manual	Automated
Paperwork	Heavy	Minimal/Digital
Availability	Fixed banking hours	24/7 banking
Transactions	Slower	Instant / Real-time
Customer Focus	General	Personalized , user-centric
Cost	Higher fees	Lower/Transparent fees





Objectives :



01 TO STUDY THE AWARENESS LEVEL OF NEO BANKS AMONG SALARIED MILLENIALS .

02 TO IDENTIFY THE KEY SOURCES OF INFORMATION THROUGH WHICH SALARIED MILLENNIALS BECOME AWARE OF NEO BANKS .

03 TO EXPLORE THE PERCEPTION AND UNDERSTANDING OF NEO BANKING FEATURES AMONG SALARIED MILLENIALS WHO ARE AWARE OF NEO BANKS .

RESEARCH GAP :

- Dr. S. Mobasheer (2025) examined perception & service quality, but not how awareness begins.
- P. Nithyakirrthy et al. (2024) found users lack awareness, but did not focus on salaried millennials.
- Puneet Bhatnagr et al. (2024) studied online reputation, but not the formation of initial awareness.
- Ruhani Sohal et al. (2025) focused on financial inclusion, not urban salaried individuals.
- No study explains how salaried millennials learn about neo-banks or understand their services.
- A quantitative survey is needed to fill this gap and study awareness patterns in this group.

RESEARCH DESIGN :

This Study Uses a Combined Research Design :

1 **EXPLORATORY RESEARCH**

2 **DESCRIPTIVE RESEARCH**

Using both methods gives a fresh understanding + clear picture of how salaried millennials see neo-banks today.

POPULATION OF STUDY :

- Salaried millennials in India (29–44) are the primary focus group and key target users of neo-banks.
- They are tech-comfortable, but their awareness and trust levels toward neo-banks vary widely.
- Understanding their awareness, perception, and behaviour is essential for this study.

SAMPLE UNIT :

- Salaried millennials in India (29–44) who actively use smartphones and digital services.
- Working professionals with a regular monthly income across different job sectors.
- Digitally comfortable users who engage in online payments, banking, and financial apps.



SAMPLING TECHNIQUE :

Non-Probability Simple Random Sampling of salaried millennials who meet the criteria.

Participants selected randomly from accessible groups like work networks, LinkedIn, and social platforms ,etc.

Everyone in the available pool has an equal chance of being chosen using random tools/software.

TOOL FOR DATA COLLECTION :

1. Data Collection Method:
Data was collected through a structured online questionnaire shared via Google Forms/Microsoft Forms.

2. Question Format :
The form included easy MCQs, Yes/No questions, and Likert-scale items to collect clear and reliable responses.

SOFTWARE USED FOR STATISTICAL ANALYSIS :

1. Data Analysis Tool:
The study uses SPSS software to analyze the cleaned survey data because it is reliable, easy to use, and widely accepted in research.

2. Output & Presentation:
SPSS helps organize the data and creates clear tables, charts, and graphs, making the results easy to understand and present.

PESTEL ANALYSIS :

Political:

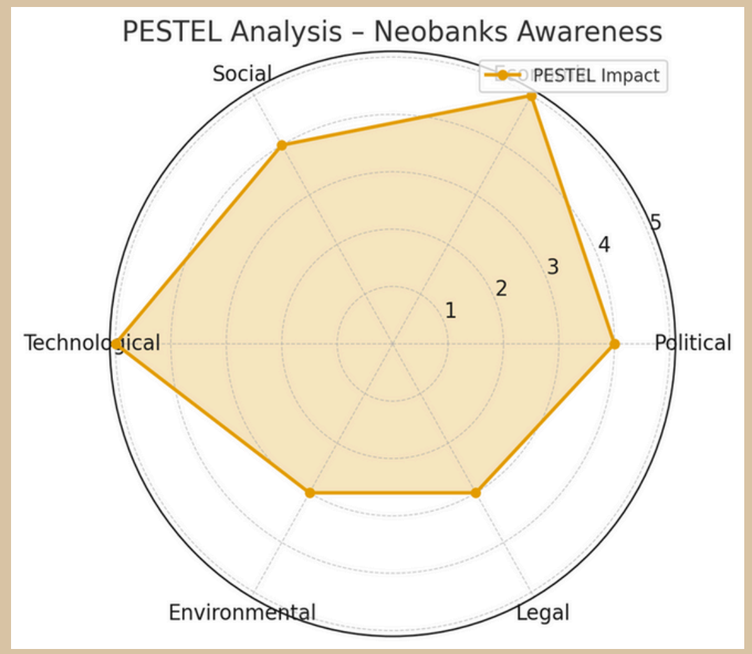
- Govt pushes digital banking, but lack of RBI regulation affects trust.

Economic:

- Tech-comfortable millennials + low-cost neo-bank services = strong adoption potential.

Social:

- Digital lifestyle fits neo-banks, but awareness gaps and security fears remain.



Technological:

- AI, UPI, and mobile apps boost usage, making neo-banks attractive to millennials.

Environmental:

- Paperless, branchless model supports sustainability—appeals to eco-conscious youth.

Legal:

- Operate under partner bank licenses; data protection laws shape trust and safety.

POTER FIVE FORCE ANALYSIS :

Threat of New Entrants:

Easy digital entry but hard to build awareness and trust among millennials.

Bargaining Power of Suppliers:

- Dependence on partner banks, APIs, and digital ad platforms → moderate supplier power.

Bargaining Power of Buyers:

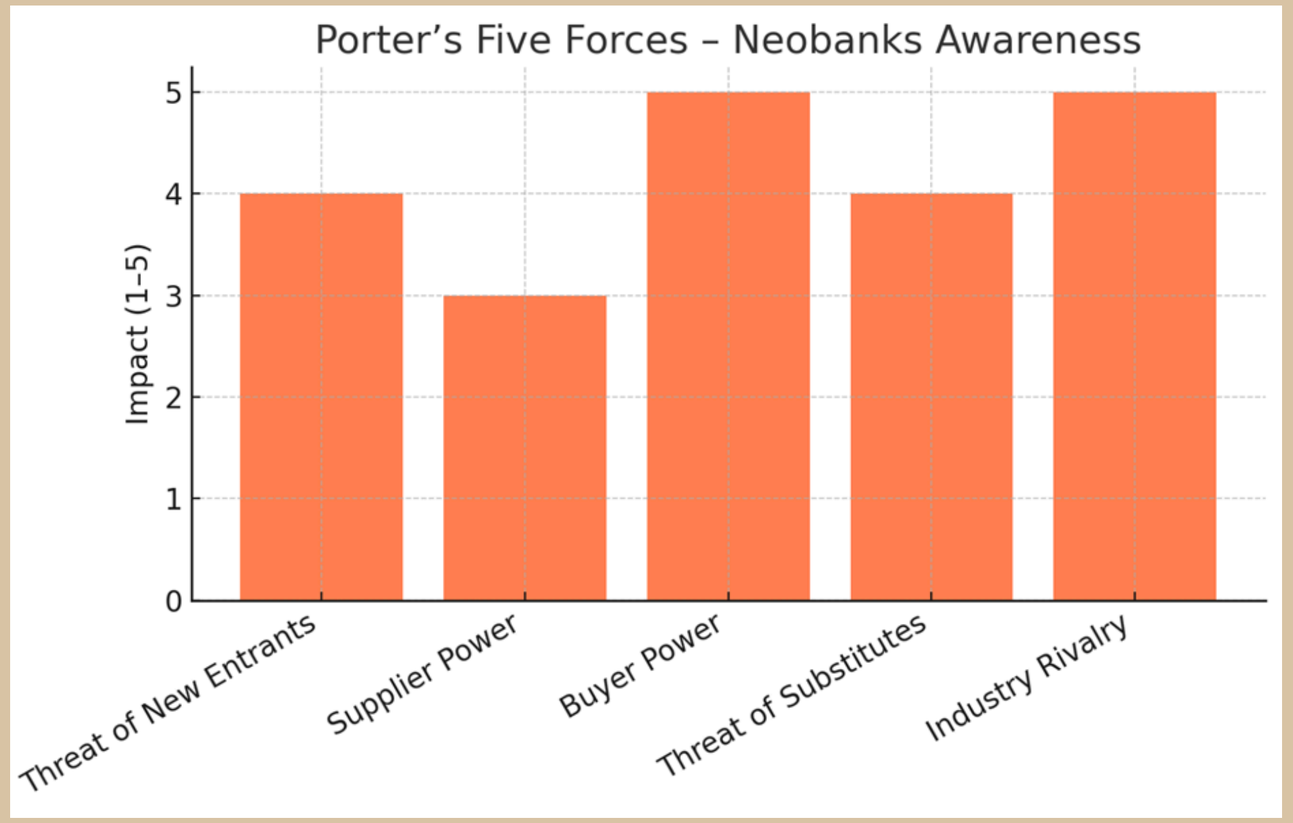
- Tech-savvy millennials compare apps easily and switch quickly → high buyer power.

Threat of Substitutes:

- Strong alternatives like traditional mobile banking, UPI apps, and wallets increase substitution risk.

Industry Rivalry:

- Many neo-banks offering similar features lead to intense competition for millennial attention.



OT -ANALYSIS :

Opportunities (O)	Threats (T)
Rising digital adoption among millennials	Lack of direct RBI regulation reduces trust
Shift to cashless & contactless transactions	Strong competition from banks & fintech apps
Growing fintech ecosystem supporting innovation	Low brand awareness in Tier 2 & 3 cities
Scope to boost financial literacy through simple tools	Digital fatigue due to too many similar apps
Employer partnerships for salary accounts & financial programs	Cybersecurity & data privacy concerns

HYPOTHESIS 1: Relationship between Age Group Of Respondent And Awareness of Neo Banks.

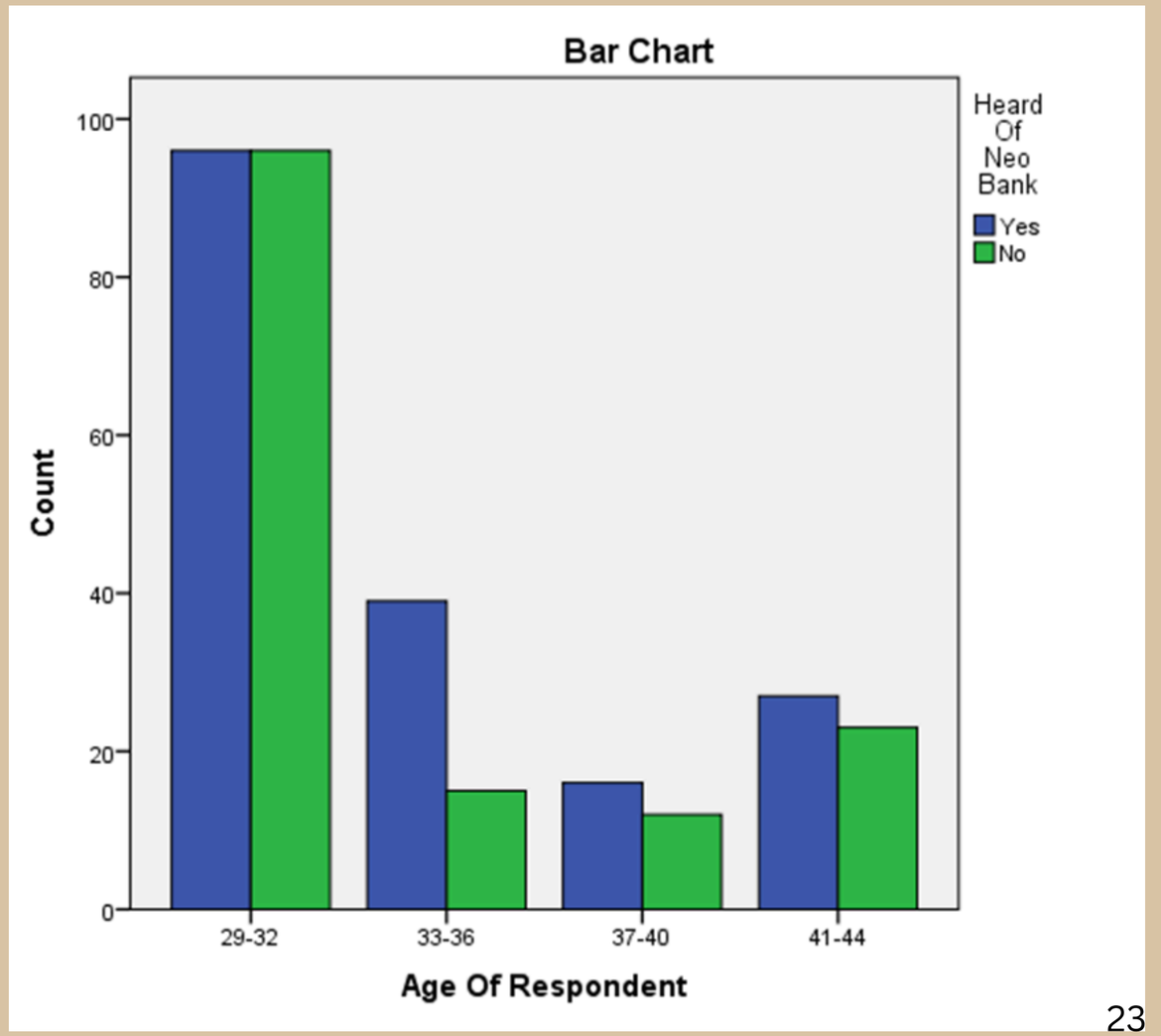
HO: There is no statistical significance between age group of respondants and awareness of neo banks.
H1: There is a statistical significance difference between age group of respondants and awareness of neo banks.

HYPOTHESIS 1: Relationship between Age Group Of Respondent And Awareness of Neo Banks.

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	8.480a	3	0.037
Likelihood Ratio	8.777	3	0.032
Linear-by-Linear Association	0.83	1	0.362
N of Valid Cases	324		

a. 0 cells (0.0%) have expected count less than 5. The minimum expected count is 12.62.



HYPOTHESIS 2: Relationship between Educational Qualification of Respondents And Their Rating of Awareness about Neo Banks.

H0: There is no statistical significance between educational qualification of respondents and their rating of awareness about neo banks.

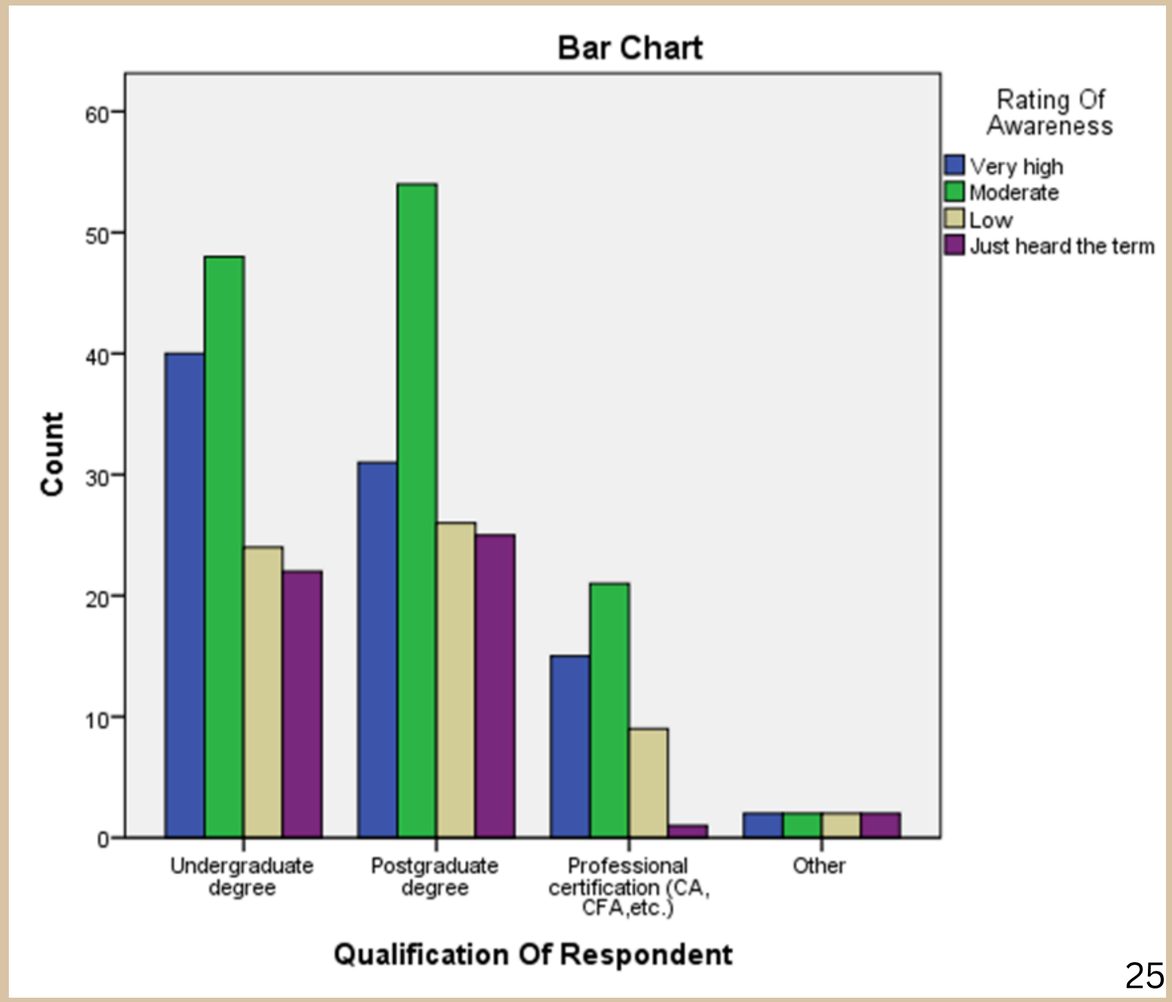
H1: There isstatistical significance between educational qualification of respondents and their rating of awareness about neo banks.

HYPOTHESIS 2: Relationship between Educational Qualification of Respondents And Their Rating of Awareness about Neo Banks.

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	9.923a	9	0.357
Likelihood Ratio	12.866	9	0.169
Linear-by-Linear Association	0.3	1	0.584
N of Valid Cases	324		

a. 4 cells (25.0%) have expected count less than 5. The minimum expected count is 1.23.



HYPOTHESIS 3: Relationship between Gender Of Respondent And First Heard About NeoBank.

H0 : There is no statistical significance difference between gender of respondent and first heard about neo bank .

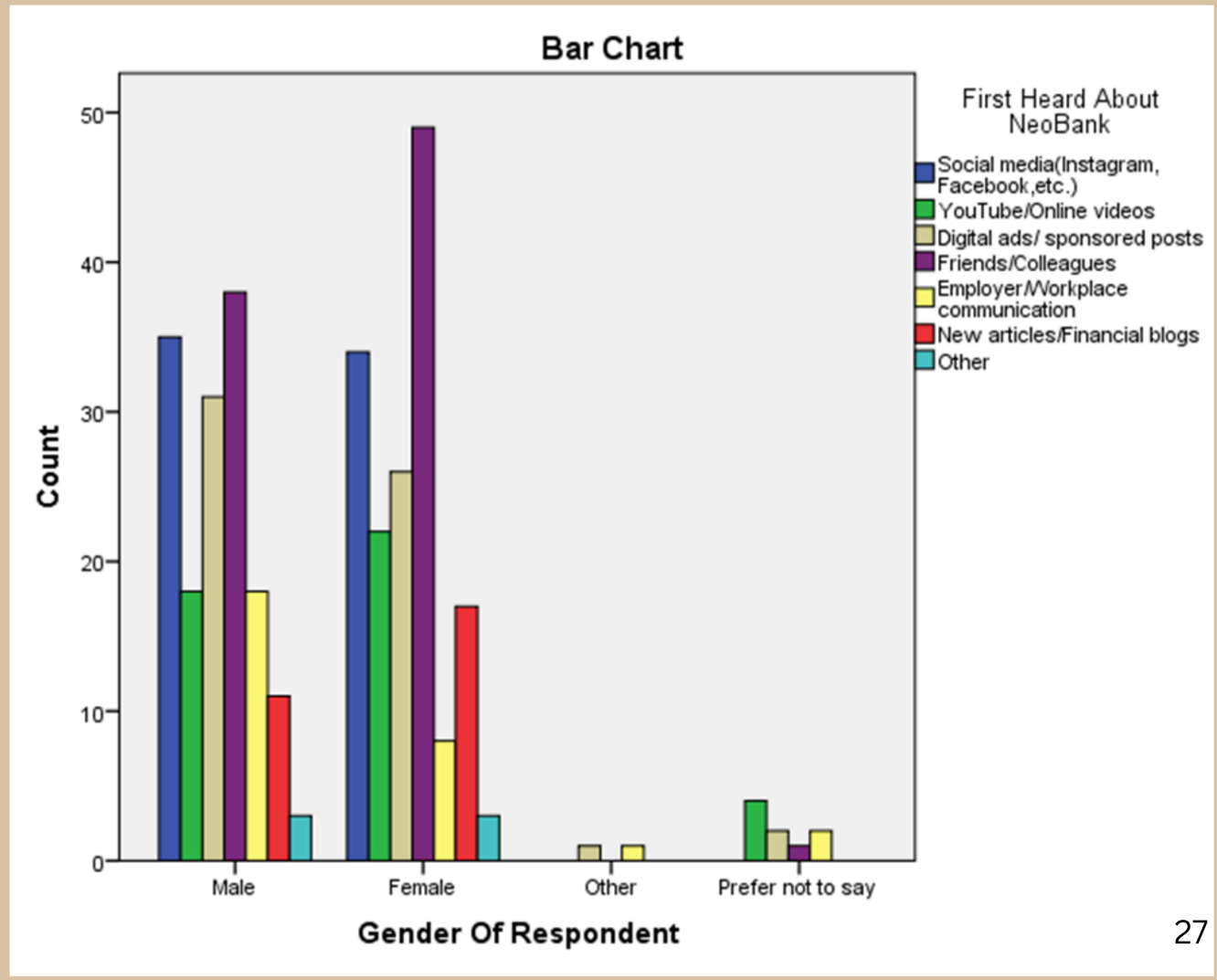
H1 : There isstatistical significance difference between gender of respondent and first heard about neo bank .

HYPOTHESIS 3: Relationship between Gender Of Respondent And First Heard About NeoBank.

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	25.666a	18	0.108
Likelihood Ratio	25.386	18	0.115
Linear-by-Linear Association	0.021	1	0.884
N of Valid Cases	324		

a. 16 cells (57.1%) have expected count less than 5. The minimum expected count is .04.



HYPOTHESIS 4 : Relationship between Age Of Respondent * First Heard About Neo Bank.

H0 : There is no statistical significance difference between age of respondent * first heard about neo bank

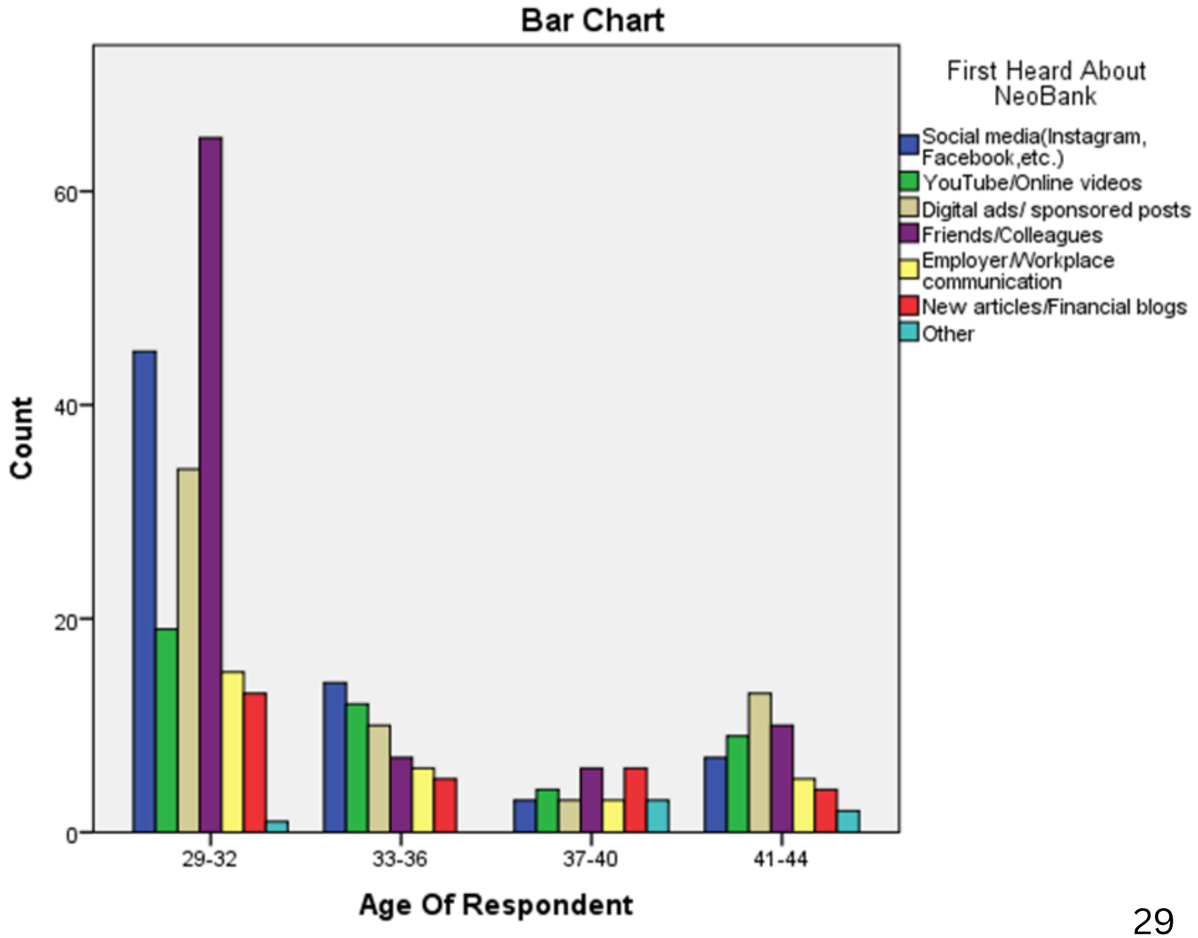
H1 : There isstatistical significance difference between age of respondent * first heard about neo bank

HYPOTHESIS 4 :Relationship between Age Of Respondent * First Heard About Neo Bank

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	43.055a	18	0.001
Likelihood Ratio	37.624	18	0.004
Linear-by-Linear Association	2.43	1	0.119
N of Valid Cases	324		

a. 11 cells (39.3%) have expected count less than 5. The minimum expected count is .52.



HYPOTHESIS 5: Relationship between Age Of Respondent And Perception Of NeoBank.

H1 : There is a statistical significance difference between age of respondent and perception of neo bank .

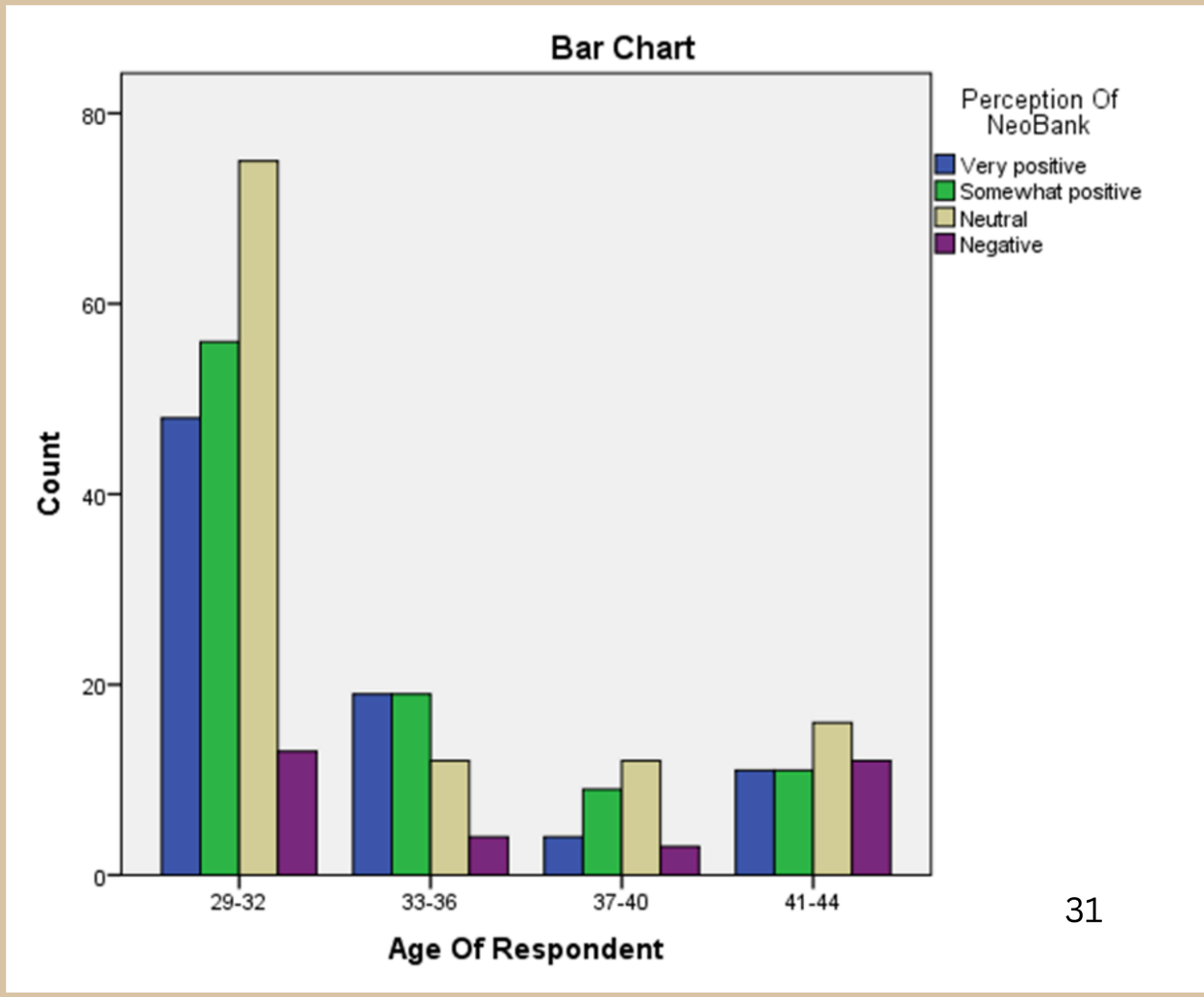
H0 : There is no statistical significance difference between age of respondent and perception of neo bank .

HYPOTHESIS 5: Relationship between Age Of Respondent And Perception Of NeoBank.

Chi-Square Tests

	Value	df	Asymp. Sig. (2-sided)
Pearson Chi-Square	21.569a	9	0.01
Likelihood Ratio	19.377	9	0.022
Linear-by-Linear Association	3.901	1	0.048
N of Valid Cases	324		

a. 2 cells (12.5%) have expected count less than 5. The minimum expected count is 2.77.



FINDINGS :

1. Awareness Is Shallow: People know the term “Neo Bank” but don’t know details.

2. Model Is Misunderstood: Many think Neo Banks are just wallet apps.

3. Digital Users Know More: Higher digital activity = higher Neo Bank awareness.

4. Younger Millennials More Aware: Age 29–35 understand Neo Banks better than 36–44.

5. Social Media Drives Awareness: Reels, YouTube, and influencers are top sources.

FINDINGS :

6. Word of Mouth Matters: Friends and colleagues encourage trying Neo Banks.

7. Convenience Is Appreciated: Easy account opening and smooth apps attract users.

8. Trust and Safety Concerns Stay: People hesitate to use Neo Banks as their main bank.

9. Mostly Used as Secondary Accounts: Main banking still happens through traditional banks.

10. Low Awareness of Advanced Features: Users know basic tools but not the smarter ones.

11. App Experience Shapes Trust: Clear design and transparency build confidence.

SUGGESTIONS :

1. Create Simple Explain Videos & FAQs: Use short, easy explainers to clearly answer basic questions about Neo Banks.

2. Conduct Webinars & Q&A Sessions: Host short online sessions for working professionals to build trust.

3. Clearly Show Partner Bank & Safety Info: Display partner bank name, safety protections, and complaint steps upfront.

4. Use Social Media for Education: Share tutorials, myths vs facts, and user stories—not just promotions.

5. Encourage Customer Referrals: Make existing users ambassadors through helpful referral programs.

SUGGESTIONS :

6. Partner With HR & Payroll Platforms: Introduce Neo Bank options through workplaces for higher trust.

7. Explain Security Features Clearly: Use simple visuals to show data protection and fraud safety.

8. Highlight Advanced Features: Show tools like budgeting, savings goals, and analytics through demos.

9. Personalize User Experience: Use AI-based guidance and dashboards for better engagement.

10. Improve Transparency & Communication: Be open about rules, processes, and safety to increase user confidence.

CONCLUSION:

- The study shows that salaried millennials are open to digital banking, but their awareness of Neo Banks is basic rather than complete.
- Convenience attracts them, yet limited clarity about the Neo Bank model, safety, and regulations prevents full trust.
- Awareness grows through digital habits and peer influence, but conceptual understanding of how Neo Banks function is still weak.
- The real gap is not interest, but insufficient guidance and transparent communication from Neo Banks.
- Strengthening education, security disclosure, and trust-building efforts can help Neo Banks shift from being optional digital tools to reliable banking alternatives for this generation.

ANNEXURE:

Objective	**Questions (MCQs)**	**Findings:**	**Suggestions:**
1. To study the awareness level of neo banks among salaried millennials	Q5 (Heard of neo bank), Q6 (Understanding meaning), Q7 (Awareness rating), Q8 (Services knowledge)	• Social media and short video content as primary discovery channels • Word of mouth – colleagues and friends • App stores and fintech ecosystems • Traditional media plays little role • Employer/HR touchpoints	• Create short, plain-language explainers • Be explicit about partner bank and protections • Use social media for education • Clearly communicate security & data protection features • Promote detailed understanding of features
2. To identify the key sources of information through which salaried millennials become aware of neo banks	Q9 (First heard), Q10 (Trusted sources), Q11 (Ad frequency)	• Social media and short video content as primary discovery channels • Word of mouth – colleagues and friends • App stores and fintech ecosystems • Traditional media plays little role • Employer/HR touchpoints	• Use social media for education, not just promotion • Equip existing customers as ambassadors • Partner with HR platforms and payroll services • Run periodic live webinars or office Q&A sessions
3. To explore the perception and understanding of neo banking features among salaried millennials who are aware of neo banks	Q12 (Perception), Q13 (Appealing features), Q14 (Concerns), Q15 (Future intention to adopt/use)	• Neo Banks seen as convenient and easy to use • Trust and safety concerns limit full adoption • Most use Neo Banks as a supplementary tool • Perception shaped by app experience and transparency	• Provide personalized & interactive user experiences • Strengthen customer engagement through transparency • Promote detailed understanding of features • Clearly communicate security & data protection features

ThankYou!